PDD Holdings (NASDAQ: PDD): Deep Dive Through a Li Lu Lens

Prepared for: Drew Goldman, Magis Capital Partners. Internal only.

As of: Fri Oct 23, 2026 (ET). Price **US$79.04** at the Oct 23 close (Yahoo Finance via exa.ai).

Units: RMB bn unless noted. USD conversions use **6.67 RMB/USD** (USDCNY close on 2026-10-23, exa.ai). 1 ADS = 4 ordinary shares.

Labels: [F] = fact from a filing or source. **[A]** = assumption. **[J]** = my judgment. **GAP** = unknown or unverified.

1. Executive summary

Verdict [J]: PDD is one of the cheapest large, highly profitable platforms in the world.

- **The price:** about 3.7x EV/EBIT on TTM operating income. Net cash, after deducting *every* liability including the merchant float, is about 53% of the share price.
- **What the price implies:** at a 12% discount rate, it bakes in a perpetual ~8%/yr decline in operating earnings if the cash is counted in full.
- **The discount is not irrational.** Management has hoarded the cash: there are no buybacks and no dividends, even against RMB456bn of cash plus short-term investments. It has also opened a multi-year "RMB100bn" merchant-support investment cycle and disclosed less than almost any mega-cap does. Temu's model was broken by the end of US de minimis and is being rebuilt under EU duty and DSA pressure.
- **Li Lu lens:** PDD passes clearly on margin of safety and on "great globally competitive Chinese company at a very low price". It is borderline on circle of competence (disclosure is too thin for a real informational edge) and fails or is unproven on owner orientation ("seamless web of deserved trust").
- **Expected returns:** the base case 5-yr IRR is about 14% (bear −3%, severe bear −16%, bull +26%).
- **Recommendation [J]:** suitable as a **starter position (2–4%)** at or below about $80, sized for a 50% drawdown. Upgrade to core only on evidence of capital return or Temu disclosure.

Key numbers

Metric	Value	Source / date
Price / market cap (diluted, 1,473.5M ADS)	$79.04 / **$116.5B**	Close 2026-10-23; Q2'26 6-K diluted wtd shares 5,894M ordinary
TTM revenue (to 6/30/26)	**RMB450.8bn** (+9.5% YoY in H1'26)	Computed from 20-F FY25 and 6-Ks
TTM GAAP operating income / margin	**RMB98.6bn / 21.9%** (FY24: 27.5%)	Computed
TTM net income	RMB92.1bn	Computed
TTM OCF	RMB111.9bn	Computed
Cash + STI (6/30/26)	**RMB456.4bn**	Q2'26 6-K (2026-08-25)
Net cash after ALL liabilities (cash + restricted + STI + other NCA − total liabilities)	**RMB414.5bn = $62.1B = $42.2/ADS**	Computed from the 6/30/26 balance sheet
EV (market cap − that net cash)	**~$54.3B**	Computed
EV/EBIT (TTM) / EV/NOPAT	**3.7x / 4.5x**	Computed (18.2% tax, the FY25 effective

		rate)
P/E (TTM GAAP)	8.4x	Computed
Insider / strategic	Colin Huang 24.8%; Tencent 13.8%; PDD Partnership 6.5%	20-F FY25 (2026-04-29)
Superinvestors (Q2'26 13F)	Himalaya 22.2% of book ($821M); H&H (Duan Yongping) $1.91B	13Fs filed 2026-08-14
Next catalyst	Q3'26 results (date not announced; third-party estimates are Nov 17–18). Q3 13Fs due by about Nov 16	GAP: no IR event posted

2. Business: Pinduoduo vs Temu, and the unit economics

What PDD discloses [F]: a single reportable segment. Revenue has two lines: online marketing services (OMS) and transaction services (TS). There is no GMV, no Temu P&L and no take rate. FY2025 revenue was RMB431.85bn, split OMS 217.78bn and TS 214.06bn.

Mapping the two lines to the businesses [J]: the best public proxy is that

- OMS is mostly domestic Pinduoduo ad and listing fees, and
- TS is mostly Temu, plus Duoduo Grocery and domestic commissions.

TS went from 14.1bn (2021) to 214.1bn (2025), alongside Temu's launch in Sept 2022. This mapping is an inference, not a disclosure.

	Pinduoduo (China)	**Temu (international)**
Model [F/third-party]	C2M / team-buying value marketplace for lower-tier cities. Merchants pay ad/listing fees; merchants ship using 3P couriers	Launched in the US in 2022. Was fully managed (cross-border small parcels), now shifting to semi-managed / "local-to-local" warehousing
Scale	~20–22% China e-commerce share (Triata Q1'25 letter: 22%, #2 by GMV; Cederberg Dec-25: ~20%). ~900M LTM active buyers at end-2024 (Triata)	Q3'25 MAU 511M (+63% YoY) and DAU 87M (data.ai via Triata Q3'25). 2024 GMV ~US$50B (Triata's own tracking, Q1'25 letter)
Monetization (third-party estimates)	Ad take rate est. 4–4.5% vs ~2.5% in 2019 (Intrinsic Value 2026-07-19). EBITDA/GMV 2.3% vs BABA 2.5%, JD 1.4% (Hayden Q4'25)	"Very likely loss-making" (Intrinsic Value). Profitability expected by some around 2028–29 (third-party). **GAP:** no disclosed Temu P&L
Pressure	Douyin (¥4.3–4.5tn 2025 GMV, ~30% growth; IV). RMB10bn fee cuts (2024), then the RMB100bn merchant-support program (from early 2025). State "anti-involution" push	US de minimis ended for China/HK on 2025-05-02 and for all countries on 2025-08-29 (20-F). IV: US GMV reportedly fell below 30% of its early-2025 level before rebounding. EU: DSA fine of €200M (2026-05-28). EU temporary duty on low-value parcels from July 2026 has a "considerable impact" (Q2'26 call)

Unit-economics read [J]:

- **A negative-working-capital, asset-light marketplace.** Capex was 0.3–0.9% of revenue in 2022–25. Merchant payables and deposits (RMB128.5bn at 6/30/26) fund operations, so operating capital is negative and ROIC is effectively unbounded. ROE of ~27% (2025) is depressed by the cash pile.

- **Margins compressed as the company reinvested.** Operating margin went from 27.5% (FY24) to 21.6% (FY25) and 21.9% (TTM), while S&M stayed around 29% of revenue. Management says the investments "will inevitably affect our financial performance" (Q4'25 release, 2026-03-26).
- **Transaction services drove recent growth:** TS +13% vs OMS +3.5% in Q2'26. With the Temu cost headwinds (duties, local warehousing), that points to margin mix pressure.

Conflicting third-party data (flagged):

- Order frequency: Jetha says 40–50x a year (Q4'25 letter) and Intrinsic Value says "more than 70x". Unresolved; GAP.
- Founder stake: Intrinsic Value says Huang owns "north of 30%". **The 20-F says 24.8%.** Use the 20-F.

3. Financials (5 years + TTM)

Full CSV: PDD_financials_2026-10-23.csv. Sources: 20-F FY2023 (acc 0001104659-24-051610), FY2024 (0001410578-25-000951) and FY2025 (0001104659-26-050727, filed 2026-04-29); SEC companyfacts XBRL; Q1'26 and Q2'26 6-Ks (0001104659-26-067186 and -100534).

RMB bn	FY21	FY22	FY23	FY24	FY25	TTM 6/26
Revenue	93.95	130.56	247.64	393.84	431.85	450.78
growth	+58%	+39%	+90%	+59%	+10%	+9.5% (H1)
OMS / TS	79.8 / 14.1	102.9 / 27.6	153.5 / 94.1	197.9 / 195.9	217.8 / 214.1	220.9 / 229.8
Operating income	6.90	30.40	58.70	108.42	93.10*	98.55
Op margin	7.3%	23.3%	23.7%	27.5%	21.6%	21.9%
Interest & inv. income	3.06	4.00	10.24	20.55	25.58	GAP
Net income	7.77	31.54	60.03	112.43	97.84*	92.08
SBC	4.77	7.72	7.08	9.88	7.94	6.64
OCF	28.78	48.51	94.16	121.93	106.94	111.9
Capex	3.29	0.64	0.58	0.97	1.15	~4.4 [A]
FCF (OCF – capex)	25.5	47.9	93.6	121.0	105.8	~107.5 [A]
Cash + STI (end)	93.0	149.4	217.2	331.6	422.3	456.4
Restricted cash	59.6	58.0	62.0	68.4	73.8	77.3
Payable to merchants	GAP	63.3	75.0	91.7	107.4	109.9
Equity	75.1	117.8	187.2	313.3	413.4	447.8
Diluted wtd shares (M ord.)	5,714	5,761	5,840	5,917	5,930	5,894 (Q2)

*FY25 uses the audited 20-F. The unaudited 6-K of 2026-03-26 showed operating income **94.62bn** and NI **99.36bn**. Audited figures are about **RMB1.52bn lower**, with accrued liabilities +1.5bn, and the 20-F gives **no explanation** [F]. This is an open question for management and the auditor.

Q2'26 itself [F] (6-K 2026-08-25):

- Revenue 112.36bn (+8%; missed LSEG consensus of 116.35bn per Reuters).
- Operating income 27.76bn (+8%).
- NI 27.18bn (−12%), dragged down by a **−7.40bn "other loss"** whose cause is undisclosed (GAP; likely mark-to-market on ~RMB66bn of equity securities held in STI).

4. Capital structure, float vs owner cash, capital allocation, governance

Balance sheet at 6/30/26 [F]:

- Assets: cash 128.9; restricted cash 77.3; STI 327.5 (incl. ~66bn of equity securities at YE25); other non-current assets 96.4 (mainly time deposits and HTM/AFS securities).
- Liabilities: payable to merchants 109.9; merchant deposits 18.5; accrued 76.9; total liabilities 215.6. **No financial debt** (the converts were repaid in 2025).

Cash tiers [J]:

Definition	RMB bn	$B	$/ADS
Company headline cash + STI	456.4	68.4	46.4
Gross liquid (cash + restricted + STI + other NCA; upper bound)	630.1	94.5	64.1
Gross less merchant float (payables + deposits 128.5)	501.6	75.2	51.0
Base: gross less ALL liabilities	**414.5**	**62.1**	**42.2**
Ultra-conservative: cash + STI − all current liabilities	243.7	36.5	24.8

- **Restricted cash is float, not owner cash.** The 20-F says restricted cash is "mainly … cash received from consumers and reserved in a bank supervised account for payments to merchants".
- **FY25 OCF includes float growth.** OCF ran 9bn above NI because merchant payables rose 15.3bn and accrued liabilities rose 12.4bn. Float growth is real money but not owner earnings, and it reverses if GMV shrinks.
- **GAP:** how much cash sits onshore in the PRC vs offshore is not quantified.

Capital allocation [F]:

- No dividends ("no present plan"), and Item 16E repurchases are "Not applicable".
- Cash compounded from 93bn (2021) to 456bn (6/26).
- The only large uses are RMB-scale merchant subsidies, Temu logistics, a Xiongan office-building purchase (PP&E rose from 1.3bn to 4.75bn in H1'26) and an equity-securities portfolio.
- The SBC burden is modest: about 1.5–2% of revenue. Diluted share count is roughly flat since 2021 (5,714M to 5,894M).
- **Judgment [J]:** this is the single largest detractor under a Li Lu lens.
- **Outside pressure:** SC Marwar publicly called for an initial **$6B buyback** (SumZero 2026-07-22; CNBC 2026-07-21).

Governance [F]:

- **Structure:** Cayman holdco with principal executive offices in Dublin.
- **VIE:** Hangzhou Aimi, via WFOE Hangzhou Weimi. The VIE's share of revenue fell from **45.7% (2023) to 22.5% (2024) to 13.1% (2025)**, which shrinks the structural risk over time. The VIE paid RMB564M in service fees to Weimi in 2025.
- **Voting:** no Class B shares are outstanding, so effectively one share one vote. However, the **PDD Partnership** has director-nomination rights.

- **Board:** six directors. Independent director Dr. Ivonne Rietjens died in Aug 2026 (6-K 2026-08-21). Jiazhen Zhao was named co-chairman alongside Lei Chen in Dec 2025.
- **Compensation:** executives received only US$2.2M cash in 2025.
- **Related parties:** Tencent at 13.8% (a strategic partner and WeChat traffic source).
- **Auditor: Ernst & Young (Hong Kong)** was appointed 2025-07-23, replacing EY Hua Ming. Audit fees were US$7.36M vs 5.31M. PDD was named an HFCAA Commission-Identified Issuer in May 2022. Cederberg reads the EY HK switch plus a new Financial Director as hinting at a "homecoming" (HK) listing; FACT cites "speculation of a PDD dual listing". That is third-party inference.
- **Regulatory:** EU DSA formal investigation (Oct 2024), then a preliminary breach finding (Jul 2025), then a €200M fine (2026-05-28; action plan due 2026-08-28, further penalties possible). The FY25 20-F adds new "formal investigation" risk-factor language.

5. Valuation

Owner earnings [J]:

- Method: TTM GAAP operating income of 98.55bn (after SBC), taxed at 18.2%, gives **NOPAT of RMB80.6bn = $12.1B = $8.20/ADS**.
- Interest income and mark-to-market gains are excluded because the cash is valued separately. Capex ≈ D&A, so no adjustment is made.
- **Normalized range:** a 25% margin (between the FY24 peak of 27.5% and TTM 21.9%) gives NOPAT of about $9.4/ADS. The trough case (Temu losses widen, fee cuts persist) is about $6–7/ADS.
- **Normalized FCF:** reported TTM FCF of ~RMB107bn ($16B; 13.8% of market cap) overstates owner FCF because of float growth and interest income. The operating owner-FCF yield on EV is about **22%**.

Ex-cash multiples: EV $54.3B, giving **3.7x TTM EBIT, 3.9x FY25 EBIT and 4.5x NOPAT**. That matches Cederberg's "4x EV/EBIT" (Apr-26). P/E is 8.4x GAAP.

Reverse DCF (perpetuity, NOPAT $12.1B) [computed]:

Discount rate	Cash at 100%	Cash at 50%	Cash at 0%
10%	−10.0%/yr	−3.6%	−0.3%
12%	**−8.4%/yr**	−1.9%	+1.5%
15%	−5.9%/yr	+0.7%	+4.2%

Reading the table [J]: the market either assumes operating earnings shrink in perpetuity, or treats most of the cash as worthless to minority holders. The investment case is that neither is fully true.

Scenarios (5-yr, per ADS, constant 6.67 FX, no dividends assumed) [A, all explicit]:

	Bear	Base	Bull	Severe bear (value trap)
NOPAT growth/yr from $8.20	−5%	+4%	+9%	−12%
Share of NOPAT retained as cash	50% (rest burned on subsidies/Temu)	100%	100%	30%
Yield on cash	1.5%	2.0%	2.0%	1.0%
Value credited to cash at exit	50%	75%	100% (buybacks begin)	25%
Exit multiple on yr-5	6x	9x	12x	5x

NOPAT				
Dilution/yr	1.0%	1.0%	0.5%	1.5%
Yr-5 NOPAT / cash per ADS	$6.35 / $63.6	$9.98 / $94.6	$12.62 / $102.1	$4.33 / $53.0
Yr-5 value per ADS	**$66.5**	**$152.9**	**$247.3**	**$32.4**
5-yr IRR from $79.04	**−3.4%**	**+14.1%**	**+25.6%**	**−16.3%**

- **Sensitivities:** base with cash credited at 50% gives a 10.5% IRR; base at a 7x exit gives 11.1%.
- **Probability weighting [J]** (25/50/25 across bear/base/bull, severe bear excluded as a tail): about **14% expected IRR**.
- **Cross-checks (third-party):**

- Intrinsic Value base case: fair value $96, 16% IRR (12% discount, cash haircut to $42).

- Protea (Jan-25): ~$240 by Jan-2029.

- SC Marwar: "~3x 2025 FCF".

6. Li Lu lens

Lens sources:

- `/workspace/shared/magis/lenses/li-lu.md` (Magis lens, 2026-10-12).
- `/workspace/li-lu-graham-dodd/official.txt` (Li Lu, 36th Graham & Dodd Luncheon, Oct 5, 2026).
- lensdocs/lilu (Sohn 2013, PKU 2019).

What is documented vs inferred:

- **[F]** Himalaya held 4.61M ADS from Q2'25 to Q1'26, then raised it to 10.76M ADS ($821M, **22.2% of its 13F**) in Q2'26. It also held a small Pinduoduo stake in 2020–21 and exited it.
- **[F]** Li Lu has **not publicly explained** PDD (Financial Express 2026-08-16). His Oct 5, 2026 talk does **not name PDD**.
- **[Inference, not his words]** Several themes in that talk map onto PDD:

- "some of the greatest companies, globally competitive, trading at very low prices… a better opportunity set" in China;

- Chinese households saving more and consuming less, with domestic demand growth "roughly zero";

- the test of whether you are "the objective or the cost" of a state objective.

- **[F, third-party]** Duan Yongping's H&H holds $1.91B of PDD (Q2'26). Duan is widely described as Huang's mentor (Intrinsic Value, 2026-07-19).

#	Li Lu criterion	Score	Assessment
1	Stock = ownership of a real business	**Pass**	Real, profitable, cash-generative marketplace with RMB98.6bn TTM operating income [F]
2	Circle of competence / know	**2/5**	Edge (lowest price, C2M,

	its edge better than the sell side		scale economies shared) is describable, but no GMV, segment or Temu P&L is disclosed. Only 3 analysts asked questions on the Q2 call. An informational edge needs channel work (Triata-style MAU/GMV tracking) [J]
3	10–20 yr durability / moat	**3/5**	Domestic: #2 share at ~20–22%, sticky value habit. But Douyin is a low-switching-cost competitor and the state forces fee cuts. Temu's moat is unproven post-de-minimis [J]
4	Modernisation trend ("fish where the fish are")	**4/5**	Value-seeking, lower-tier and rural consumption fits Li Lu's own description of China (high savings, flat demand). Rationalised consumption favours PDD [J]
5	Objective vs cost of state policy	**2/5**	Aligned with objectives (farmers and agriculture, "free shipping to villages", RMB100bn merchant support, Xiongan presence). But that alignment *is* the cost: profits are redirected to merchants. Abroad, Temu is the cost of US/EU objectives (de minimis, DSA, EU duty) [J]
6	Honest, able owner / "seamless web of deserved trust"	**Fail (2/5)**	Able operators with founder alignment (24.8%). But zero capital return on ~$62B net cash, extreme opacity, an unexplained RMB1.5bn audited-vs-unaudited revision, and bearish-by-design messaging [F+J]
7	Margin of safety vs normalised earnings	**Pass (5/5)**	3.7x EV/EBIT; net cash ~53% of price; the market implies −6% to −8%/yr perpetual decline [computed]
8	VIE / capital controls / geopolitics	**2/5**	VIE now only 13.1% of revenue (improving); Dublin HQ and offshore Temu revenue. But HFCAA history, US–China tariffs, EU DSA and capital controls on onshore cash (GAP on mix) [F+J]
9	Hold through a 50% drawdown	**Conditional**	Already −40.6% over 1 year (TradeSmith 2026-10-23); 52-week range $71.94–139.41. Holdable only if conviction rests on owner-cash math, not Temu narratives [J]
10	Good enough for a top-3 position?	**Not yet for Magis**	Li Lu sized it at 22%, which suggests he resolved #2 and #6 to his satisfaction (inference). Magis has no comparable information edge or access [J]

Li Lu verdict [J]: PDD is a textbook Li Lu *price* and *opportunity-set* setup: a dominant, globally competitive Chinese platform at under 4x ex-cash EBIT, which is exactly the kind of company his October talk describes. It is not yet a textbook Li Lu *trust* setup. The cash is not returned, disclosure is minimal, and the company is partly "the cost" of state and foreign policy objectives. For Magis, it is a margin-of-safety starter, not a concentrated core holding, until capital return or real segment disclosure closes the trust gap.

7. Fund roster

Full CSV: `PDD_fund_roster_2026-10-23.csv`. 13F data comes from EDGAR information tables (ADS counts; values in US$ as filed).

Fund	Position / change	Stated view	Source + date
Himalaya (Li Lu)	10.76M ADS, $821M, 22.2%; **+133%** in Q2'26	None public	13F filed 2026-08-14
H&H Intl (Duan Yongping)	25.02M ADS, $1.91B, 10.0%; up from 7.75M over 5 quarters	None read	13F filed 2026-08-14
Baillie Gifford	~26.6M ADS, ~$2.0B, 1.8%; trimming from 31.0M	None read	13F Q2'26
Triata	3.21M ADS, $245M, **41.6%**; adding	Temu as "free upside optionality"; domestic under-appreciated; mgmt "sometimes opaque"	13F Q2'26; letters Q1'25, Q3'25, Q4'25
Greenwoods	~4.79M ADS, ~16.7%; mixed	None read	13F Q2'26
Hillhouse (HHLR)	0.5M ADS (4.6%); **cut** from 10.72M (39%) in Q4'25	None read	13F Q2'26
Alpine Inv. Mgmt	1.66M ADS (30.8%) + calls; adding	None read	13F Q2'26
Cederberg	37.6k ADS per 13F (down from 755.9k)	"low-cost, customer-first", 4x EV/EBIT (Apr-26)	Letters 2025-12-31, 2026-04-30
FACT / Parus / Moon	Small (0.9–3.5%)	FACT: dual-listing speculation	13F Q2'26; FACT Q4'25 letter
Tencent / Colin Huang	13.8% / 24.8%	n/a	20-F FY25
Exited	Appaloosa (Q2'26), Dragoneer and Aspex (Q1'26), Tiger (Q2'25), Scion (puts Q1'25, then none), RV Capital (sold 2025), Hayden (exited)	RV: "idiosyncratic reason for selling" (not read). Hayden: EBITDA/GMV 2.3%	13F series; podcast titles
Views only (no 13F)	SC Marwar, Protea, Davidson Kempner (convert), Jetha, Kissena	Marwar: $6B buyback call, ~3x FCF. Protea: $240 by 2029	SumZero 2026-07-22; MOI 2025-03-14; vault letters

Aggregate: 632 managers reported PDD in Q2'26 (FilingExplorer via EFTS; third-party count).

Smart-money read [J]: concentrated value and China specialists added (Li Lu, Duan, Triata, Alpine). Tiger-cub and event/macro money exited (Tiger, Dragoneer, Aspex, Appaloosa, Hillhouse's sharp cut). That pattern looks like a value rotation, not capitulation.

8. Internal sources summary

Repo `/workspace/ssi_ro` (read-only; HEAD b0c71a99, 2026-10-23):

- `PDD/research/thesis.md` (2026-07-28): stance "watch", moat "unproven", deep dive pending.

- PDD/`research/latest.json` (2026-10-16) and `evidence/filing_digest.md` (2026-08-06).
- `valuation_contract.json` (2026-10-19): evidence_blocked, unmodeled.
- `ssi_report.md` (2026-08-07, DRAFT). **Error:** it labels RMB figures as "$" (e.g. "Revenue $431.85B" is RMB). Correct before any use.
- `evidence/sec_companyfacts.json` and `claims.jsonl` (53 XBRL claims).
- `third-party-analyses/source_inventory.json`: only old 13D/13G filings.
- `investor-documents/sec-edgar/` 20-F FY23–FY25.
- dashboard 13F holdings (2026Q2), and `podcast_episodes` (RV Capital, Speedwell/Hayden, Business Breakdowns, Acquired).
- BABA deep dive (PDD/Douyin share-loss risk).

Box:

- `/workspace/shared/magis/lenses/li-lu.md`
- `/workspace/li-lu-graham-dodd/official.txt`
- `letters_vault_2026-10-08/vault/docs`: Triata Q3/Q4'25, Cederberg Dec-25/Apr-26, Hayden Q4'25, DK, Kissena, FACT, Jetha, Summary-of-40-13Fs-Q2'25, Sohn HK 2026, and VIC Vipshop/Tencent mentions.
- `/workspace/shared/magis/pdd/src/triata_q1_2025.pdf` (downloaded from Drive).

Gmail (read-only):

- Intrinsic Value "Pinduoduo: Is PDD a buy…" (2026-07-19).
- SumZero / SC Marwar (2026-07-22, reminder 07-24). The Magis mailbox has the Zoom registration for the 2026-07-27 call; there is no recording or notes.
- MOI/Latticework Protea pitch (2025-03-14).
- Cannibal Stocks "How Li Lu Invests" (2026-09-13). This is Timberland/Crocs context and mentions PDD only as a Himalaya holding.

Drive: the Triata Q1'25 letter. Cederberg 2023–25 letters, Tao Value, OceanLink and Panview are listed but were not all read.

9. Risks and falsifiers

Risks:

1. **Capital is never returned.** Cash keeps compounding into low-yield deposits, equity securities, subsidies or a costly HK homecoming. This is the single biggest risk to minority value.
2. **The domestic take rate is politically capped.** "Anti-involution" pressure and merchant-support programs act as a permanent margin tax. Douyin and Taobao keep taking share.
3. **Temu economics.** The EU low-value-parcel duty (Jul-26), DSA penalties, US tariffs and the shift to local warehousing structurally lower Temu's margins. The risk is a forced US exit.
4. **Accounting and disclosure.** No segments, an unexplained audited-vs-unaudited revision, a −7.4bn "other loss" without explanation, and a large equity-securities book inside STI.
5. **Geopolitics and listing.** HFCAA, US delisting or sanctions, and capital controls on onshore cash.
6. **Key-person and governance.** Partnership nomination rights, a small board (one seat vacant after a death) and a founder-controlled culture.

Falsifiers (the thesis is wrong if…) [J]:

- Operating margin settles below about 15% for 4 or more quarters while revenue growth is in the low single digits. That would mean the base case's +4% NOPAT is too generous.
- Cash + STI stops growing while merchant payables shrink. That would signal GMV contraction and float run-off.
- A large related-party or non-core deployment of cash (more than RMB50bn) instead of buybacks.
- Temu exits a top-3 market, or the EU imposes DSA fines up to the 6%-of-turnover cap.
- Li Lu or Duan materially sell in the Q3'26 or Q4'26 13Fs. That would not be decisive alone, but it removes the best informed-holder signal.

Upside triggers: a buyback or dividend, an HK dual listing, Temu disclosure or breakeven, and stabilisation of the domestic take rate.

10. Gaps, open questions and KPIs

Gaps:

- Temu P&L, GMV and take rate.
- Onshore vs offshore cash split.
- The cause of the Q2'26 −7.40bn other loss.
- H1'26 capex.
- Why audited FY25 was RMB1.52bn below the unaudited 6-K.
- RV Capital's 2025 sell rationale (transcript unavailable).
- Fred Liu's exit reasons (show notes only).
- Contents of the SC Marwar 55-page deck and July 27 call (not in mailbox or Granola).
- Q3'26 results date.
- Cederberg's 13F cut vs its letters.
- Current positions for Hayden, Marwar and Protea.

Questions for IR or channel work:

7. Is there a capital-return framework, and what is the hurdle for buybacks?
8. What drove the audited FY25 revision, and the Q2 other loss?
9. What is Temu's contribution margin trend after the semi-managed shift?
10. What will the "RMB100bn" program cost in 2026–27?
11. What are the HK listing intentions?

KPIs to track quarterly:

- TS vs OMS growth (a Temu proxy).
- Operating margin vs 21.9% TTM.
- S&M as a percentage of revenue.
- Payable-to-merchants growth (a GMV proxy).
- Cash + STI and the equity-securities book.
- Other income/loss.
- VIE revenue share.

- Diluted shares.
- Temu MAU/DAU (Sensor Tower or data.ai).
- EU/US regulatory actions.
- Himalaya and H&H 13Fs (Q3'26 due by about Nov 16, 2026).

Not investment advice. Research only. No orders, messages or repo writes were made.